

China: SAFE data suggest some FX inflows in June

Bottom line:

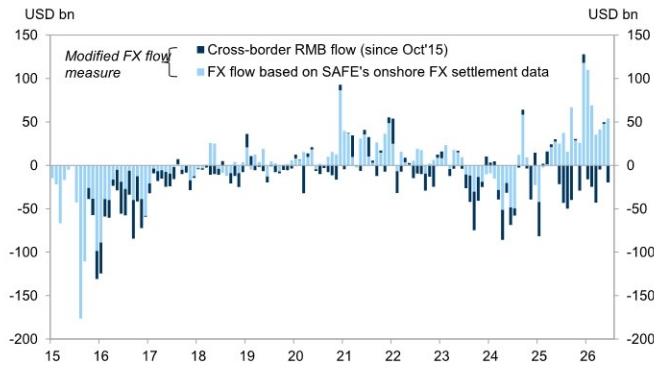
Our preferred FX flow measure shows net FX inflows of US\$34bn in June 2026 (vs. US\$50bn inflows in May). The current account channel showed US\$65bn FX inflows in June, and the portfolio investment channel saw some FX outflows from both FX settlement data (only covering flows denominated in FX) and net foreign receipts (covering flows denominated in both FX and RMB). Official FX reserves were roughly unchanged after being adjusted for FX valuation effects, and commercial banks' external assets increased by US\$26bn from May to June.

Main points:

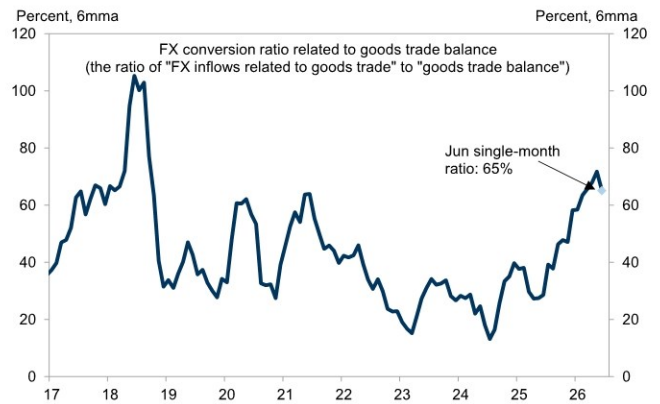
1. In June, we saw US\$47bn net inflows via onshore outright spot transactions, and US\$7bn inflows via freshly entered and canceled forward transactions. Another SAFE dataset on "cross-border RMB flows" showed outflows of US\$20bn in the month. Our preferred FX flow measure therefore suggests US\$34bn net FX inflows in June, in comparison with US\$50bn FX inflows in May ([Exhibit 1](#)).
2. The current account channel showed net inflows (US\$65bn in June vs. US\$37bn inflows in May). We saw a net inflow of US\$81bn related to goods trade in June, up from a net inflow of US\$53bn in May. The June FX conversion ratio rose to 65% (vs. 51% in May and 58% in Q2; [Exhibit 2](#)). The FX outflows related to the services trade deficit were roughly unchanged at US\$11bn in June. The income and transfers account showed a US\$5bn outflow in June, similar to the levels seen in May.
3. The portfolio investment channel saw US\$4bn FX outflows in June (vs. US\$7bn inflows in May). North-Bound Bond Connect flows showed US\$2bn outflows vs. US\$13bn inflows in May (mainly driven by NCD sales; [Exhibit 3](#)). As a broader proxy for capital flows, net foreign receipts related to portfolio investment indicated US\$36bn outflows in June (vs. US\$18bn inflows in May).¹
4. Official FX reserves (released earlier in the month) declined to US\$3,416bn in June from US\$3,442bn in May. By our estimate, FX valuation effects would have reduced FX reserves by US\$26bn in June, so after adjusting for FX valuation effects, FX reserves were roughly unchanged. In addition, we note that commercial banks' net external assets increased by US\$26bn in June (vs. a US\$15bn increase in May; [Exhibit 4](#)). The outstanding amount of banks' net external assets now stands at US\$1,532bn.

¹ Net FX receipts closely track the BOP portfolio investment balance, covering both inbound and outbound portfolio investment, denominated in either foreign currency or Renminbi. In contrast, FX net settlement only covers those flows denominated in foreign currency.

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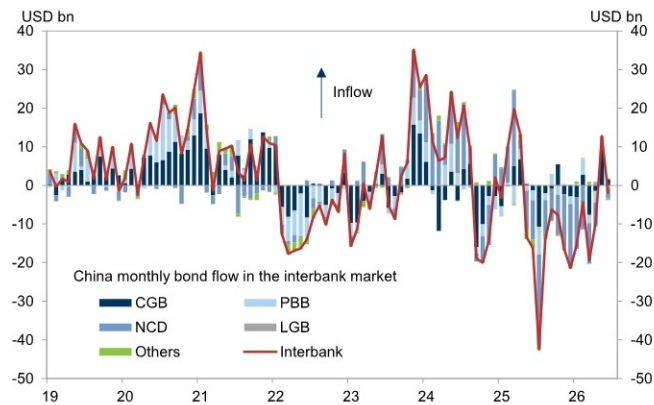
Exhibit 1: Our preferred gauge suggests continued FX inflows in June

Source: SAFE, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: Single-month FX conversion ratio for goods trade balance rose from May to June

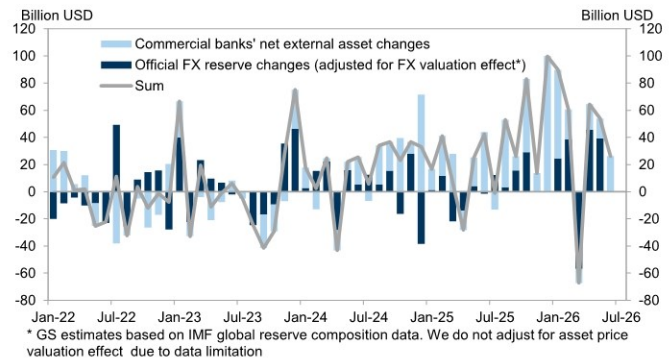
The line shows a six-month moving average of FX conversion ratio.

Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 3: Foreign investors sold some RMB bonds in June

CGB: Central government bonds, LGB: Local government bonds, PBB: Policy bank bonds, NCD: Negotiable certificate of deposits

Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 4: Banks' net external assets increased in June, while official FX reserves were roughly unchanged after adjusting for FX valuation effect

Source: PBOC, CEIC, Data compiled by Goldman Sachs Global Investment Research

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